

Stanford Research Institute

“Value Proposition and the NABC Approach

NABC: Why Do We Iterate?

For the past two years we have reinforced the idea of powerful, pithy communication through the common language of "NABC." The process of developing an NABC is now being used throughout SRI to identify, and then refine, an idea with potential business merit.

NABC: An important client or market *Need* addressed by a unique *Approach* with compelling *Benefits* when compared against the *Competition* or alternatives.

The NABC of an NABC

Each of our clients - whether it is a government agency, a private foundation or a commercial company - must clearly believe that our "value proposition" is right and best for them. Our *need* is to efficiently develop value propositions that are compelling so that our clients and SRI both succeed.

Everyone naturally develops value propositions. A simple example is:

*I understand that you are hungry (the **need**). Let's go to the SRI Cafe (the **approach**). It is close, the food is good and it is quiet there so we can continue working (the **benefits**). The alternative is McDonald's, which is noisy at lunchtime (the **competition** or **alternative**).*

All proposals and business plans must, at a minimum, answer these four questions: need, approach, benefits, and competition - the fundamentals that define a project's value proposition. The NABC *approach* described here helps us focus on answering these four questions. It is the first step in creating a more complete proposal or business plan.

The *benefit* of the NABC approach is that it creates a common format - a template - for gathering and sharing essential information. Since it includes the fundamental ingredients of a project's value proposition, it applies to all government, commercial and internal SRI investment requests.

Because an NABC is brief, it can be iterated rapidly to gather new market and solution details. The NABC approach encourages a culture of brainstorming and continuous collaboration to create better solutions with less client - and SRI - risk. After a series of iterations, an evolving NABC provides the basis for a concise business summary, an "elevator pitch," which can be delivered to prospective clients, even at chance meetings.

An NABC is also a tool our clients can use to sell our solutions within their organizations. They must answer these questions, too, and we should help them.

A *competing* approach to the NABC is the ad hoc format, where some of the fundamental questions are typically not addressed. This can lead to inadequate client solutions. It also wastes time, because the fundamental questions must be answered eventually. Alternatively, one can develop a complete business plan, but the extensive effort required is premature and inefficient until the project's overall value proposition is clearly understood.

The NABC Efficiently Answers Four Fundamental Questions

An NABC comprises the four fundamentals that define a project's value proposition:

- **Need:** What are our client's needs? A need should relate to an important and specific client or market opportunity, with market size and end customers clearly stated. With DARPA, for example, we are required to state a critical Department of Defense (DoD) need. The market should be large enough to merit the necessary investment and development time.
- **Approach:** What is our compelling solution to the specific client need? Draw it, simulate it or make a mockup to help convey your vision. As the approach develops through iterations, it becomes a full proposal or business plan, which can include market positioning, cost, staffing, partnering, deliverables, a timetable and intellectual property (IP) protection. If we are developing a product, it must also include product specifications, manufacturing, distribution and sales. DARPA usually demands paradigm-shifting approaches that address a specific DoD need (e.g., a 10-times improvement).
- **Benefits:** What are the client benefits of our approach? Each approach to a client's need results in unique client benefits, such as low cost, high performance or quick response. At DARPA, the benefit might be an airplane that turns faster, goes higher, costs less or is safer. Success requires that the benefits be quantitative and substantially better - not just different. Why must we win?
- **Competition/alternatives:** Why are our benefits significantly better than the competition? Everyone has alternatives. We must be able to tell our client or partner why our solution represents the best value. To do this, we must clearly understand our competition and our client's alternatives. For a commercial customer, access to important IP is often a persuasive reason to work with us. At DARPA, our competition is usually other research laboratories and universities across the United States. But, whether to a commercial or government client, we must be able to clearly state why our approach is substantially better than that of the competition. Our answer should be short and memorable.

Iterate Often to Achieve Success

Iteration is essential to the development of an NABC. One must go back and forth between a client's needs, our approach and the competition or alternatives to come up with compelling, easily understood client benefits. Answering these four interlocking questions takes dozens of iterations. Thus, iterate soon and iterate often. At each step in the refinement process, update your presentation, following the NABC philosophy that "if it isn't written down, it isn't real."

Fortunately, our colleagues, and even current clients, can critique and contribute to a presentation. Tapping into the collective genius of SRI is the best first step to developing a winning NABC. Our staff has enviable knowledge about almost every topic. And we have friends, clients and partners around the world who know even more. These are powerful assets to be leveraged.

But only until we get out of SRI and present our ideas to clients can an NABC become compelling and real. It is through interaction with real clients that we can deeply understand their unique needs and address them effectively.

The *elevator pitch* is a good first test of a successful NABC. Can you sum up your value proposition to a client in the time it takes an elevator to travel a few floors and have that client ask you for a follow-up meeting? If not, iterate yet again!

NABC: An important client or market need addressed by a unique approach with compelling benefits when compared against the competition or alternatives.